

A fairer New Zealand–Finland government-structure comparison (ChatGPT Pro)

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Bottom line

The viral comparison is useful as a provocation, but it is not a fair like-for-like comparison.

Finland does have a cleaner top-level ministerial structure: the Finnish Government officially consists of 12 ministries. But those 12 ministries sit above a wider central government that includes agencies, institutions, regional administration, local administration, state-owned enterprises, special-assignment companies, off-budget entities, and institutions governed by public law. In other words: Finland is not a 12-unit government. It is a 12-ministry government with a substantial agency and welfare-state apparatus underneath it.

New Zealand is more fragmented at the public-service-department layer. The Public Service Commission's own 2025 state-of-the-system report says New Zealand's Public Service had become increasingly fragmented, with 43 departments, departmental agencies, and interdepartmental executive boards. It says this complexity limits the system's ability to manage costs, maintain critical capability, and deliver joined-up services.

So the fair claim is not: "Finland has 12 units and New Zealand has 40+ units." The fair claim is:

Finland appears to have a cleaner top-level stewardship model, where 12 ministries steer major domains and agencies handle operational tasks. New Zealand has a more fragmented central public-service architecture and many more ministerial portfolios. NZ's own public-service leadership recognises this fragmentation as a barrier to efficiency, interoperability, citizen experience, capability, transformation, and value for money.

Does Finland perform better because of this? **Partly plausible, but not proven.** Finland performs better than New Zealand on several public-governance and public-service indicators, including administrative-service satisfaction, digital-government maturity, corruption perceptions, rule of law, adult skills, and public-sector capability signals. But Finland also taxes more, spends more, employs a larger public sector, and has a stronger adult-skills base. Those factors matter at least as much as the number of ministries.

The strongest conclusion is:

Finland is not necessarily “leaner”; it is often better resourced, more centralised at the stewardship layer, and supported by a highly skilled population and public-sector workforce. New Zealand’s fragmentation is a real problem, but copying Finland’s 12-ministry count would not automatically create Finnish outcomes.

1. What a fairer structural comparison looks like

The misleading version

The viral version compares:

- Finland: 12 ministries.
- New Zealand: 40+ departments and 80+ portfolios.

That is not comparing the same layer of government. “12 ministries” is Finland’s top-level ministerial/administrative grouping. “40+ departments” in New Zealand mixes departments, departmental agencies, and interdepartmental executive boards. “80+ portfolios” is a political-allocation count, not an administrative-entity count. The current DPMC directory lists 74 ministerial portfolios plus 4 other ministerial entities.

A more like-for-like comparison

Dimension	Finland	New Zealand	Fair interpretation
Population	5.65m at end-2025	5.34m at 31 Dec 2025	Similar enough for comparison, though Finland is about 6% larger.

Core top-level ministries	12	Not directly equivalent; NZ has ministerial portfolios and Public Service departments rather than the same “ministry” model	Finland’s top layer is cleaner.
Public-service departments / central administrative bodies	Finland’s central administration includes ministries plus agencies and institutions; central government has about 74,635 employees	NZ Public Service: 34 departments, 5 departmental agencies, 4 interdepartmental executive boards; 62,654 FTE at June 2025	NZ is more fragmented at the core public-service organisation layer. Finland is not merely 12 organisations.
Ministerial portfolios / political responsibilities	Finland has 12 ministries, but multiple ministers can serve within or across ministries and ministers can have specific duties	DPMC lists 74 ministerial portfolios and 4 other ministerial entities	NZ has much more political portfolio slicing.
Ministry–agency split	Ministries mainly steer strategy; agencies handle operational tasks	Departments often combine policy, operational, regulatory, and delivery responsibilities; Crown entities and large delivery agencies sit outside core departments	Finland’s model looks more “strategic steering + agencies execute”; NZ’s is more mixed.
Recent reform direction	Finland has centralised/streamlined regional permit, guidance, and supervision functions into the Finnish Supervisory Agency and 10 Economic Development Centres from 2026	NZ PSC proposes reducing fragmentation, digital front door, centralised digital investment/procurement, common platforms, and clustering agencies	Both countries are actively trying to simplify parts of the machine.

A fair rewritten version of the original post

New Zealand and Finland have similar populations, but their central-government architectures are organised differently. Finland has 12 core ministries at the top, with ministries focused on strategic steering and many operational tasks handled by agencies and institutions. New Zealand has 34 Public Service departments plus departmental agencies and interdepartmental executive boards, and DPMC lists 74 ministerial portfolios plus 4 other ministerial entities.

The simple “12 vs 40+” comparison is not like-for-like, because Finland’s 12 ministries do not include its wider agency system. But the underlying point is still serious: NZ’s own Public Service Commission says the system has become increasingly fragmented and that this makes it harder to manage cost, maintain capability, deliver joined-up services, drive interoperability, and create seamless citizen experiences.

Finland also performs better than NZ on some public-governance measures, especially administrative-service satisfaction and digital-government maturity. But this is not simply because Finland has 12 ministries. Finland also taxes and spends more, has higher public employment, stronger adult skills, lower perceived corruption, and a long-standing ministry-agency steering model.

The policy lesson for NZ is not “copy Finland’s org chart.” It is “reduce fragmentation where it harms citizens and businesses, clarify outcome ownership, use shared platforms and data, strengthen public-sector capability, and stop creating cross-agency complexity without clear accountability.”

2. Does Finland perform better than New Zealand?

The short answer

Yes, Finland performs better on several public-sector and governance measures. But New Zealand is also a high-performing state by global standards. On many rule-of-law, corruption, and regulatory measures, both countries are near the global frontier.

The interesting question is not “Is Finland good?” It is “Where is Finland materially better, by how much, and is the difference plausibly caused by structure?”

Scorecard

Measure	Finland	New Zealand	Difference	Interpretation
Population, latest comparable	5,652,881 at end-2025	5,342,000 at 31 Dec 2025	Finland +310,881	Similar populations.
Satisfaction with administrative services used, 2023	83%	70%	Finland +13 percentage points	Strong evidence Finland’s citizen-facing admin services are experienced better.
Trust in national government, 2023	47%	46%	Finland +1 point	Essentially similar. Both above OECD average.
NEET youth, 2023	10.6%	11.5%	Finland 0.9 points lower	Slight Finland advantage.
OECD Digital Government Index, 2022	0.64	0.50	Finland +0.14, about 28% higher relative to NZ	Strong Finland advantage on digital-government maturity.
Regulatory impact assessment score, 2024	2.5 / 4	3.0 / 4	NZ +0.5	NZ appears stronger on OECD’s RIA-system measure.
General government expenditure, 2023	55.9% of GDP	44.0% of GDP	Finland +11.9 points, about 27% higher relative	Finland’s state is much larger. Better outcomes may be partly purchased with more resources.
Tax-to-GDP, 2024	42.2%	32.9%	Finland +9.3 points, about 28% higher relative	Finland has materially higher fiscal capacity.
General-government employment share	Finland 25.2% of total employment in OECD data	NZ unavailable in same OECD series; NZ PSC says wider public	Not strictly comparable; Finland likely higher	Finland appears to employ a larger public workforce.

sector was 19.5%
of NZ workforce
in 2025

Public Service / central administration staff	Finland central government about 74,635 employees	NZ Public Service 62,654 FTE at June 2025; 63,657 FTE at Dec 2025	Finland central govt larger	Not identical definitions, but Finland's central apparatus is not tiny.
Corruption Perceptions Index, 2025	88, rank 2 / 182	81, rank 4 / 182	Finland +7 points	Both excellent; Finland stronger.
WJP Rule of Law Index, 2025	Rank 3 / 143	Rank 5 / 143	Finland +2 places	Both elite; Finland slightly higher.
World Bank regulatory quality, 2024	1.96, global rank 2	1.84, global rank 5	Finland +0.12	Both top-tier; Finland slightly higher.
Adult literacy, PIAAC 2023	296	260	Finland +36 points	Major Finland advantage.
Adult numeracy, PIAAC 2023	294	256	Finland +38 points	Major Finland advantage.
Adult adaptive problem solving, PIAAC 2023	276	249	Finland +27 points	Major Finland advantage.
PISA 2022 maths	484	479	Finland +5	Small Finland advantage.
PISA 2022 reading	490	501	NZ +11	NZ advantage.
PISA 2022 science	511	504	Finland +7	Small Finland advantage.
GDP per capita, current US\$, 2024	US\$53,149.8	US\$49,205.2	Finland about +8%	Finland slightly richer per head on this measure.
GDP growth, 2024	0.4%	1.3%	NZ +0.9 points	Finland not obviously outperforming economically at present.

What this scorecard says

Finland is better on several “state capability” and “citizen service” indicators. The biggest material differences are:

1. **Administrative-service satisfaction:** Finland 83%, New Zealand 70%. That is a 13 percentage-point gap.
2. **Digital government:** Finland’s OECD Digital Government Index score is 0.64 vs NZ’s 0.50. That is a 0.14-point gap on a 0–1 scale, or roughly 28% higher relative to NZ.
3. **Adult skills:** Finland is dramatically ahead in adult literacy, numeracy, and adaptive problem solving. This matters for both public-sector capability and the economy’s ability to use complex public services.
4. **Corruption/rule of law:** both countries are excellent, but Finland is slightly ahead.
5. **Fiscal input:** Finland is a much bigger-taxing and bigger-spending state. Its tax-to-GDP ratio is 42.2% vs NZ’s 32.9%, and general-government expenditure is 55.9% of GDP vs NZ’s 44.0% in 2023.

That last point is crucial. A system can produce better public services because it is organisationally better, because it spends more, because it has better people and institutions, or because citizens are easier to serve due to stronger digital identity, trust, and skill levels. Finland likely benefits from all of these, not one simple factor.

3. Is Finland “more efficient,” or just better resourced?

This depends on what “efficient” means.

If efficiency means output per dollar

The evidence is mixed and does **not** prove Finland is more efficient in a narrow cost-efficiency sense.

Finland spends much more through government. In 2023, Finland’s general-government expenditure was 55.9% of GDP, compared with 44.0% in New Zealand. Finland’s tax-to-GDP ratio was 42.2% in 2024, compared with 32.9% for New Zealand.

So when Finland has better administrative-service satisfaction or better digital-government maturity, we should not automatically call that “efficiency.” It may be **effectiveness enabled by higher resourcing**.

For a strict efficiency claim, we would need measures like:

- administrative cost per completed transaction;
- public-service cost per resident by service domain;
- average processing times for comparable permits, benefits, tax returns, passports, and immigration cases;
- error rates and appeals;
- user satisfaction adjusted for cost;
- back-office cost per employee or per service user;
- procurement overhead and ICT duplication costs;
- long-run capital intensity and depreciation of digital infrastructure.

I did not find a clean OECD or official dataset that directly compares Finland and New Zealand on those transaction-level efficiency measures across government.

If efficiency means public services feel easier and more joined up

Then Finland does look better. Administrative-service satisfaction is much higher. Its digital-government maturity score is higher. Its corruption and rule-of-law scores are slightly higher. Its adult skills are far higher, which likely makes both service delivery and digital uptake easier.

That is a broader, practical form of efficiency: citizens face less friction, government can steer more consistently, and agencies can use shared capabilities. But it is not the same as proving lower cost.

If efficiency means leaner government

Finland is not leaner. It is a higher-tax, higher-spend, higher-public-employment state.

Finland’s government expenditure share is nearly 12 percentage points of GDP higher than New Zealand’s. Its tax take is over 9 percentage points of GDP higher. OECD data show Finland’s general-government employment at 25.2% of total employment, among the high Nordic shares. New Zealand is not available in the same OECD figure, but NZ’s PSC says its wider public sector employed about 477,400 people in 2025, or 19.5% of the NZ workforce. Definitions differ, but the broad direction is clear: Finland’s public sector is likely larger, not smaller.

4. What is plausibly due to structure?

Finland's structure plausibly helps in four ways.

4.1 Clearer top-level stewardship

Finland's ministries are responsible for broad spheres of authority, and the Ministry of Finance describes the model as ministries focusing on strategic steering while agencies handle operative tasks. This separation can make it easier to maintain a system-wide view: ministries steer, agencies execute, shared services scale.

New Zealand's public-service architecture is more fragmented at the core-department layer. A single large policy outcome can be divided across several ministers, several departments, Crown entities, interdepartmental boards, and funding votes. That can create "accountability blur": no one entity can fully own the customer journey or outcome.

NZ's own Public Service Commission makes almost exactly this point. It says fragmentation makes it harder to drive efficiency and interoperability, deliver seamless experiences, maintain capability, create scale, address cross-cutting issues, manage transformation, and maintain trust.

4.2 More stable ministry architecture

Finland says its central government's basic structure has changed little since independence, with few changes in ministry structures. Stability can be a strength: fewer machinery-of-government churns, clearer institutional memory, and stronger career pathways.

New Zealand has a history of creating, merging, disestablishing, and re-scoping agencies, often in response to political or delivery pressures. Machinery change can be justified, but repeated restructuring can consume leadership attention, disrupt accountability, and create transition costs.

4.3 Shared-services and platform orientation

Finland has explicitly centralised some expert and support services into shared service centres, including Valtori for government ICT. It has also reorganised regional permit, guidance, and supervision functions in 2026 to harmonise practices and streamline processes.

NZ's PSC is now advocating a similar direction: digital front door, centralised digital investment and procurement, common platforms, shared data, and clustering agencies around users, businesses, or markets. That suggests NZ's public-service leadership is converging on the same diagnosis: fragmentation and duplicated platforms make services worse and more expensive.

4.4 Better domain coherence

Fewer broad ministries can help preserve domain coherence. For example, education, culture, social affairs, health, interior, finance, justice, and economic affairs each have broad ministerial homes. That does not remove trade-offs or cross-cutting issues, but it can make it clearer which institution is stewarding which system.

NZ's 74 ministerial portfolios create finer political granularity. That can help focus political attention on neglected domains, but it can also slice related systems into too many small ownership zones. The more portfolios, associate roles, and cross-agency initiatives exist, the more Cabinet and officials need coordination machinery to stitch everything back together.

5. What is probably not caused mainly by structure?

5.1 Finland's adult-skills advantage

Finland's adult skills advantage is too large to explain by ministry structure. In the OECD's 2023 Survey of Adult Skills, Finnish adults scored 296 in literacy, 294 in numeracy, and 276 in adaptive problem solving. New Zealand adults scored 260, 256, and 249 respectively.

That is a 36-point literacy gap, a 38-point numeracy gap, and a 27-point adaptive-problem-solving gap. Finland also has far fewer low-proficiency adults and many more high performers. For example, 12% of Finnish adults were low in literacy, compared with 26% in New Zealand; 35% of Finnish adults were high performers in literacy, compared with 13% in New Zealand. In numeracy, 12% of Finnish adults were low performers vs 28% in New Zealand, while 31% were high performers vs 12% in New Zealand.

This matters enormously. A highly skilled population is easier to serve digitally. A highly skilled public workforce can design, procure, govern, and operate complex systems better. High adult numeracy also matters for regulation, infrastructure, social investment, digital services, analytics, actuarial work, and cost-benefit discipline.

5.2 Education system, but with nuance

Finland's school system has long had a strong reputation, and teacher qualification requirements are high. Finnish primary, lower-secondary, and general upper-secondary teachers are generally required to have a master's degree. For class teachers, official qualification requirements include a master's degree in education and specified multidisciplinary/pedagogical studies.

New Zealand also requires approved initial teacher education for registration, but the Finnish model is more explicitly master's-degree based for most school teachers.

However, the latest PISA picture is mixed rather than a simple Finland victory. In PISA 2022, Finland scored 484 in maths, 490 in reading, and 511 in science. New Zealand scored 479 in maths, 501 in reading, and 504 in science. Finland is slightly ahead in maths and science; New Zealand is ahead in reading. Both countries have seen declines or pressures in parts of the education system.

So "Finland has a better education system" is too broad. A more precise statement is:

Finland has much stronger adult skills and higher formal qualification expectations for teachers, but the latest school-student performance comparison is mixed.

5.3 Corruption, trust, and civic culture

Finland's corruption and rule-of-law performance is world-class. But New Zealand's is also world-class. Finland ranked 2nd in the 2025 Corruption Perceptions Index with a score of 88; New Zealand ranked 4th with a score of 81. In the 2025 World Justice Project Rule of Law Index, Finland ranked 3rd globally and New Zealand 5th.

This is not mainly a "12 ministries" issue. It reflects legal culture, political norms, transparency, media, civil society, judicial independence, procurement integrity, administrative law, and long-run institutional trust.

5.4 Economic performance

Finland is not obviously outperforming New Zealand economically at present. In World Bank 2024 data, Finland had higher current-US-dollar GDP per capita — about US\$53,150 vs New Zealand's US\$49,205 — but New Zealand had higher GDP growth in 2024, 1.3% vs Finland's 0.4%.

That does not mean NZ's state is better organised. It means public-sector structure is only one contributor to economic performance. Geography, industry mix, Europe/Russia exposure, monetary conditions, migration, housing, productivity, capital intensity, and trade structure also matter.

6. Why Finland may be more effective

6.1 Higher taxes and higher spending

Finland raises substantially more tax revenue relative to GDP. The OECD Revenue Statistics 2025 country notes put Finland's 2024 tax-to-GDP ratio at 42.2%, compared with 32.9% for New Zealand. That is a 9.3 percentage-point gap, or about 28% higher relative to NZ.

Finland also spends more through government. OECD Government at a Glance 2025 says Finland's general-government expenditure was 55.9% of GDP in 2023 and 57.5% in 2024, while New Zealand's was 44.0% in 2023. Comparing the 2023 figures, Finland's spending share was 11.9 percentage points higher, or about 27% higher relative to NZ.

This means Finland can fund more extensive services, more public employees, more local/regional service capacity, more specialised capability, and stronger welfare-state infrastructure. Higher resourcing does not guarantee better outcomes, but it changes what is possible.

6.2 Higher public-sector headcount

Finland is not a small-state model. OECD Government at a Glance says general-government employment in Finland was 25.2% of total employment in 2023. New Zealand is not available in that OECD figure, but NZ's PSC says the wider NZ public sector employed 477,400 people in 2025, or 19.5% of the total NZ workforce.

The definitions are not identical, so the comparison should be used cautiously. But it strongly suggests Finland's public workforce is larger as a share of employment. This may allow more specialist capacity and less reliance on thinly spread generalists.

6.3 A stronger adult-skills base

This may be one of the biggest hidden drivers. Public administration is knowledge work. It depends on policy analysis, law, procurement, digital architecture, data, evaluation, finance, operational management, and user research. A society with higher literacy, numeracy, and problem-solving skills has a deeper pool of people who can do this work well.

Finland's adult-skills lead over New Zealand is large enough that it should be treated as a major causal candidate. It may help explain better digital service uptake, lower friction in administration, stronger evidence use, and more consistent implementation.

6.4 Professionalised public leadership

Finland requires a master's degree and practical evidence of management skills for all managerial positions in central government. That is a strong formal capability requirement.

New Zealand's public service is also highly educated. The 2025 Public Service Census found 65% of respondents had a bachelor's degree or higher, compared with 38% of the overall NZ workforce, and only 15% had no post-school qualification compared with 35% overall. So NZ's public servants are not low-skill. But Finland appears to have more formalised qualification requirements for central-government management and a very strong national adult-skills base.

6.5 Digital-government capability

Finland's OECD Digital Government Index score is materially higher than New Zealand's. The index benchmarks digital-by-design, data-driven public sector, government as a platform, open by default, user-driven, and proactiveness. Finland scored 0.64 in 2022; New Zealand scored 0.50.

This matters because a modern state's structure is increasingly encoded in digital systems. If every agency builds its own channels, identity systems, datasets, procurement contracts, and service patterns, government feels fragmented no matter what the org chart says. Conversely, shared digital infrastructure can make a complex state feel simple.

NZ's PSC recognises this and is pushing toward a unified digital front door, centralised digital investment and procurement, common data, and shared platforms. That is likely more important than simply reducing the number of departments.

6.6 Ministry-agency separation

Finland's ministries focus on strategic steering while agencies perform operative tasks. This is not automatically superior, but it has advantages:

- policy stewardship can be separated from delivery operations;
- agencies can specialise;
- ministries can maintain system-wide oversight;
- shared services can be scaled across agencies;
- operational agencies can be merged or reorganised without constantly redrawing the top ministry map.

New Zealand has some of this through Crown entities and specialised agencies, but its core Public Service architecture remains more fragmented and portfolio-driven. The risk is that policy, delivery, regulatory, digital, and funding responsibilities are split in ways that make end-to-end accountability hard.

6.7 Lower perceived corruption and stronger rule-of-law margins

The corruption and rule-of-law differences are small in ranking terms but meaningful at the frontier. Finland's CPI score is 88 vs NZ's 81. Finland's WJP Rule of Law rank is 3rd vs NZ's 5th. Both are excellent, but the difference may affect procurement, trust in implementation, compliance, and willingness to centralise data and digital systems.

6.8 Not necessarily fewer laws

I did not find a robust, comparable, official "number of laws in force" metric that would support a claim that Finland is more efficient because it has fewer laws. Raw law counts are also a poor measure: a civil-law country and a common-law country organise statutes, regulations, codes, delegated legislation, court-made law, and administrative rules differently.

A better comparison is regulatory quality and rule-making process. On that basis the picture is mixed:

- World Bank regulatory-quality estimates rank Finland slightly higher in 2024: 1.96 vs New Zealand 1.84, global ranks 2 and 5 respectively.

- OECD's 2024 RIA score is higher for New Zealand: 3.0 / 4 vs Finland 2.5 / 4.
- OECD Regulatory Policy Outlook notes that Finland requires RIAs for all primary laws and some subordinate regulations, while New Zealand requires RIA for all primary laws and subordinate regulations.

So the claim is not “Finland has fewer laws.” A fair claim is:

Finland and New Zealand both have high-quality regulatory systems. Finland scores slightly higher on broad perceived regulatory quality, while New Zealand scores higher on OECD's RIA-system measure. Law count is not a useful explanation.

7. What New Zealand can learn without fooling itself

7.1 Reduce harmful fragmentation, not just the department count

A lower department count is not inherently better. A giant department can hide complexity, slow decisions, and weaken specialist focus. The goal should be fewer unnecessary hand-offs, clearer ownership, less duplicate infrastructure, and better citizen/business journeys.

NZ should focus on the pain points the PSC itself identifies:

- too many touch points for the public;
- duplicated back-office and digital systems;
- stretched specialist capability across multiple small agencies;
- lack of scale for resilience and career pathways;
- difficulty managing long-term, cross-cutting issues;
- difficulty managing transformation and change.

7.2 Clarify outcome ownership

For major cross-cutting outcomes — housing supply, child wellbeing, climate adaptation, infrastructure delivery, immigration settings, mental health, regional economic development — NZ should be explicit about:

- the accountable minister;
- the lead chief executive;
- the agencies that own delivery components;

- the shared data and reporting model;
- what success means;
- what trade-offs Cabinet has actually resolved.

Without this, restructuring just creates new boxes around old ambiguity.

7.3 Treat digital public infrastructure as machinery of government

A fair Finland lesson is not merely “fewer ministries.” It is “shared foundations.” Identity, payments, notifications, eligibility, case management, data exchange, and service design patterns are the public-sector equivalent of roads and power grids.

NZ’s PSC is already pointing in this direction: unified digital front door, digital identity ecosystem, common data, aggregated digital procurement, and reuse. That should be treated as core state infrastructure, not an ICT side project.

7.4 Build capability, not just austerity

Finland’s advantages are not costless. Higher tax, higher spend, more public employment, stronger adult skills, and formal leadership requirements all contribute. If NZ tries to get Finnish outcomes by cutting headcount while adding more cross-agency coordination, it may make the problem worse.

Capability matters in areas such as:

- procurement and contract management;
- digital architecture;
- data engineering and privacy engineering;
- evaluation and cost-benefit analysis;
- regulatory design;
- frontline operations management;
- service design;
- financial management;
- infrastructure delivery.

7.5 Avoid naïve mega-ministry thinking

A department can be too small, but it can also be too large. NZ’s PSC explicitly warns that reform must strike the right balance so agencies are neither too large, which can dilute focus, nor too small, which can create inefficiency and threaten viability.

A good reform would cluster around common platforms, users, and markets while preserving clear delivery units and specialist capability. A bad reform would merge boxes, remove domain expertise, and declare victory.

7.6 Reduce portfolio slicing where it creates coordination load

NZ's 74 ministerial portfolios and 4 other ministerial entities create political focus, but also coordination overhead. Every portfolio boundary is a potential interface. Every associate minister role can create additional reporting, briefing, and negotiation loops.

The question should not be "How many portfolios can we delete?" It should be:

- Which portfolios are genuine stewardship domains?
- Which are stakeholder signalling devices?
- Which create duplicated accountability?
- Which require permanent cross-agency machinery because the portfolio split is artificial?
- Which could be grouped under broader outcome owners while retaining associate or advisory mechanisms?

7.7 Use service-level evidence before merging

Before major machinery changes, NZ should build a baseline by domain:

- number of agencies involved in a user journey;
- number of forms, logins, eligibility checks, and hand-offs;
- average cycle time;
- cost per transaction;
- failure demand, rework, appeals, complaints;
- data duplication and manual reconciliation;
- digital-channel uptake;
- user satisfaction;
- staff time spent on interagency coordination.

That would turn the "bird's nest" critique into measurable reform.

8. Direct answers to the user's causal questions

Is Finland better performing because of its structure?

Probably partly, but structure is not sufficient to explain the difference.

Finland's cleaner top-level ministry architecture, stable ministry map, ministry-agency split, and shared-services direction plausibly reduce some coordination costs. But the evidence does not prove causation from "12 ministries" to better outcomes.

By what measures is Finland better, and how much?

Most meaningful gaps found:

- Administrative-service satisfaction: **83% Finland vs 70% NZ**; Finland +13 points.
- Digital Government Index: **0.64 vs 0.50**; Finland +0.14 on a 0–1 scale, about +28% relative.
- CPI 2025: **88 vs 81**; Finland +7 points, rank 2 vs rank 4.
- WJP Rule of Law 2025: **rank 3 vs rank 5**.
- Adult skills: Finland +36 literacy points, +38 numeracy points, +27 adaptive-problem-solving points.
- Regulatory quality: **1.96 vs 1.84** on the World Bank WGI estimate, rank 2 vs rank 5.

NZ is ahead or comparable on:

- Trust in national government: **47% Finland vs 46% NZ**; almost identical.
- OECD RIA score: **NZ 3.0 vs Finland 2.5**.
- PISA reading: **NZ 501 vs Finland 490**.
- GDP growth in 2024: **NZ 1.3% vs Finland 0.4%**.

Is Finland better because it has higher budgets from higher taxes?

This is a major part of the story. Finland's tax-to-GDP ratio is 42.2% vs NZ's 32.9%, and its general-government expenditure is 55.9% of GDP vs NZ's 44.0% in 2023. That gives Finland more fiscal room for services, staffing, digital infrastructure, welfare-state administration, and specialist capability.

Does Finland have higher headcount?

Likely yes, but direct comparisons are definition-sensitive. Finland's central government has about 74,635 employees. NZ's Public Service had 62,654 FTE at June 2025 and 63,657 FTE at December 2025. At the wider public-sector level,

NZ's PSC says public sector employment is 19.5% of NZ's workforce. OECD data show Finland's general-government employment is 25.2% of total employment, but New Zealand is not available in that same OECD figure. The broad read: Finland is not achieving outcomes with a tiny state; it likely has a larger public employment footprint.

Does Finland have fewer laws?

Not established, and not a useful proxy. I did not find robust comparable official counts of laws in force. More importantly, Finland is a civil-law country and New Zealand is a common-law country, so raw statute counts would mislead. Better measures are regulatory quality and regulatory-process quality. Finland is slightly ahead on broad regulatory quality; NZ is ahead on OECD's RIA-system score.

Does Finland require higher staff qualifications?

In some important areas, yes. Finland requires master's degrees for many teaching roles and requires a master's degree plus practical management evidence for central-government managerial positions. NZ public servants are also highly qualified: 65% of NZ Public Service Census participants had a bachelor's degree or higher in 2025, compared with 38% of the overall NZ workforce. I did not find a directly comparable Finland-wide public-service qualification distribution.

Is Finland's education system better?

For adult skills, clearly yes. For current 15-year-old school performance, mixed. Finnish adults substantially outperform NZ adults in literacy, numeracy, and adaptive problem solving. But PISA 2022 is not a simple Finland win: Finland is slightly ahead in maths and science, while NZ is ahead in reading.

Is Finland more efficient overall?

Finland appears more effective in public administration, but not necessarily more cost-efficient. Better service satisfaction and digital-government scores point to lower citizen friction and stronger administrative capability. But because Finland taxes, spends, and employs more, the evidence does not prove that Finland produces better outcomes at lower cost.

9. Final judgement on the original comparison

The viral post is **directionally right** that New Zealand's system has a fragmentation problem. It is supported by NZ's own Public Service Commission, which says fragmentation limits cost management, capability, joined-up services, interoperability, citizen experience, transformation, and value for money.

But the post is **misleading** in three ways:

1. It compares Finland's top-level ministries with NZ's broader department/agency/portfolio counts.
2. It implies Finland is streamlined in total, when Finland also has many agencies, institutions, regional bodies, special-assignment companies, and public-law institutions.
3. It implies structure alone explains better outcomes, when Finland's advantages also include higher taxes, higher spending, likely higher public employment, stronger adult skills, stronger digital-government maturity, formal leadership requirements, and very strong integrity/rule-of-law institutions.

A defensible one-sentence version would be:

Finland's 12-ministry top layer is not proof that it is inherently more efficient, but Finland does combine clearer high-level stewardship with stronger public-service outcomes in several areas; NZ's own evidence suggests fragmentation is a real drag, though fixing it will require capability, digital platforms, and clearer accountability – not just fewer boxes on an org chart.

Sources

Key sources used for this comparison:

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